Creative Financing for Your Children

If you're starting a family of your own, you may want to consider ways to help your children pay for education. You may have felt (or still feel) a heavy burden from paying off your own student loans and wish to spare your children that misery. If so, it's never too early to look at strategies for making higher education more affordable.

Saving for College

One way to help children pay for college is to accumulate funds that can be used to pay for their education. You can do this in a variety of ways, such as college savings plans, retirement accounts, insurance contracts, and more.

529 Plans

The most recent addition to the college savings arsenal is the Section 529 college savings plan. This is a plan sponsored by each state for the purpose of helping people save for higher education. Higher education can mean college, graduate school, trade school, and a number of foreign institutions. These plans have become popular for their tax benefits, high contribution limits, and flexibility.

You can put away a lot of money in a 529—hundreds of thousands of dollars per year. However, most folks just put away a few bucks per month. If you use your state's 529 plan, you may be eligible for a state income tax deduction on your contributions. Furthermore, the earnings in the account occur without taxes, like the earnings in an IRA. Finally, if you spend the money on qualified higher education expenses (which are defined quite broadly), you don't have to pay any income tax when you take the money out.

If your child does not go to college, you can always transfer the funds toward another family member without penalty. You can even use the funds yourself—for a graduate degree, for example. Many parents prefer this